# Practice workbook · Minimum wage: reasons, benefits and costs

Purpose of a minimum wage and its effects on workers, firms, employment and the economy, including increases in the minimum wage.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-23

# 1. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

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**4** Figure 6 shows the population of Finland in the years 2021, 2022 and 2023.

| Year | Population |
|---|---|
| 2021 | 5,541,075 |
| 2022 | 5,569,299 |
| 2023 | 5,601,185 |

**Figure 6**

(a) Calculate, to two decimal places, the **percentage change in the population** of Finland between 2021 and 2023. You are advised to show your working.

**(2)**

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# 1. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

Malaysian company Air Asia was founded in 1993 as a low-price airline. It has grown to offer a wider range of services, including hotels, holiday packages, airport transfers and travel insurance.

It offers flights to over 150 destinations in 25 countries.

(b) With reference to the data above and your knowledge of economics, analyse why Air Asia may benefit from spreading its risk across a wider range of markets.

(6)

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## 1. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

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# 1. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

In 2024, the Latvian Government increased the national minimum wage from €620 per month to €700 per month.

A study had shown that 16% of the population of Latvia were paid the minimum wage. Although this was the lowest percentage for five years, many people had been struggling to pay bills following a rise in the prices of food, energy and clothing.

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit everyone in an economy such as Latvia.

**(12)**

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# 1. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

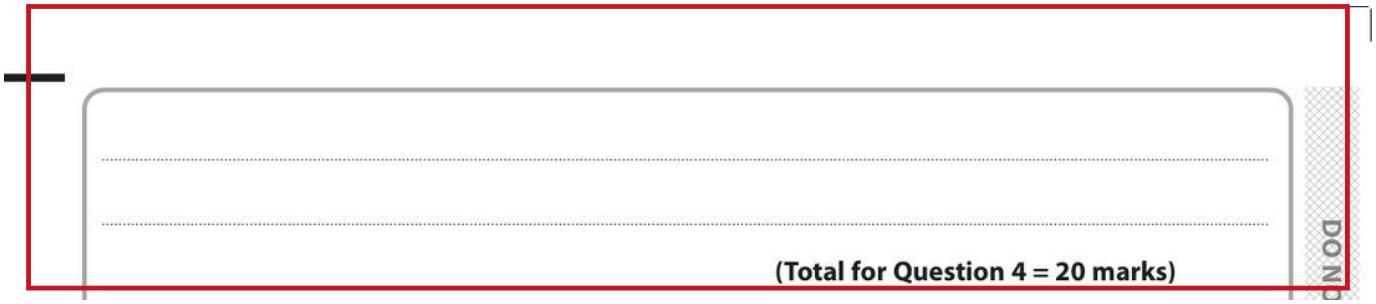
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## 1. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.




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# 1. Question 4 · part c · 12 marks · Working and answer

Working and answer

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## 2. Question 3 · part d · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

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**3** (a) Which **one** of the following is most likely to cause a shift to the left in the supply curve?

**(1)**

- ☒ **A** Increased indirect taxes
- ☒ **B** Cost reductions
- ☒ **C** Increased subsidies
- ☒ **D** Decreased advertising

(b) Which **one** of the following best describes an income elasticity of demand (YED) of 2.6?

**(1)**

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Inelastic

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## 2. Question 3 · part d · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce diaries and/or calendars. On your PPF, draw what would happen if production of calendars increased.

**(3)**



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## 2. Question 3 · part d · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

Each year the Turkish Government raises the national monthly minimum wage. It increased from 2 020 Turkish Lira (TRY) in 2018 to 2 558 Turkish Lira (TRY) in 2019.

(d) With reference to the data above and your knowledge of economics, analyse why the Turkish Government might want to increase the minimum wage every year.

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## 2. Question 3 · part d · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

Istanbul's new airport will be huge in size and capacity when construction is finished. It will have the ability to handle around 200 million passengers annually. This is double the number of the world's current busiest airport in Atlanta, USA. The airport will cost $11.7bn to build. It will have four terminals, six runways and cover an area of 29.5 square miles, making it larger than the island of Manhattan in New York.

(Source adapted from: https://matadornetwork.com/read/istanbul-new-airport-biggest-world/)

(e) With reference to the data above and your knowledge of economics, assess whether Istanbul's new airport is likely to benefit from internal economies of scale.

(9)

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P 6 2 0 3 0 A 0 1 6 2 4

## 2. Question 3 · part d · 6 marks · Working and answer

Working and answer

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## 3. Question 4 · part c · 12 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

**4** Figure 5 shows the population in Austria in the years 2000, 2008 and 2018.

| Year | Population |
|---|---|
| 2000 | 8,069,276 |
| 2008 | 8,341,532 |
| 2018 | 8,891,388 |

(Source adapted from: https://worldpopulationreview.com/countries/austria-population/)

**Figure 5**

(a) Calculate, to two decimal places, the **percentage change in the population** in Austria between 2000 and 2018. You are advised to show your working.

**(2)**

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## 3. Question 4 · part c · 12 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

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Figure 6 shows the price elasticity of supply (PES) of bananas.

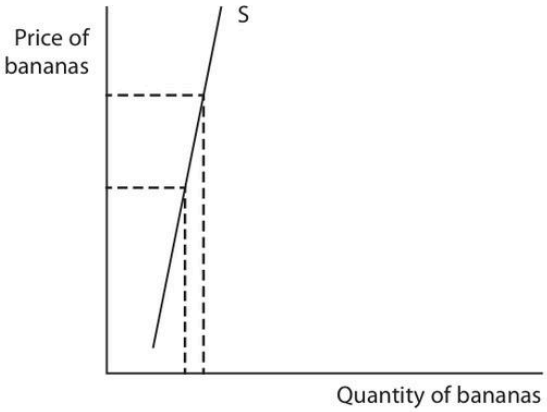



**Figure 6**

(b) With reference to the data above and your knowledge of economics, analyse how the quantity supplied of bananas might be affected by an increase in price. (6)

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## 3. Question 4 · part c · 12 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

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18

P 6 5 8 9 6 A 0 1 8 2 4

## 3. Question 4 · part c · 12 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

**Monthly Spanish minimum wage increases**

In 2019, the monthly minimum wage in Spain increased by the largest percentage in over 40 years. It rose by around 22% compared to only a 4% rise the previous year. It was part of an annual review with a focus on 'making Spain great again'. The Spanish Prime Minister said that, 'A rich country should not have poor workers'.




**Figure 7**

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit an economy such as Spain.

**(12)**

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## 3. Question 4 · part c · 12 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.



## 3. Question 4 · part c · 12 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.



## 3. Question 4 · part c · 12 marks · Working and answer

Working and answer

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# 4. Question 2 · part e · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

**2** (a) Which **one** of the following would lead to an increase in the supply of labour?

**(1)**

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

**(1)**

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

**(1)**

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## 4. Question 2 · part e · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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Figure 2 shows some of the monthly production costs for a firm which manufactures clothing.

| Production costs | US$ |
|---|---|
| Rent | 25 000 |
| Raw materials | 12 000 |
| Insurance | 5 500 |
| Labour (payment depends on output) | 115 000 |

**Figure 2**

(d) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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(e) Define the term minimum wage.

(1)

## 4. Question 2 · part e · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(f) Describe **one** reason why infinite wants lead to scarcity.

**(2)**

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## 4. Question 2 · part e · 1 mark · Working and answer

Working and answer

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## 5. Question 3 · part b · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

**3** (a) Which **one** of the following is the definition of a merger?

**(1)**

- ☒ **A** The joining together of two firms
- ☒ **B** The transfer of ownership from the government
- ☒ **C** The takeover of one firm by another firm
- ☒ **D** The creation of a competitive market

(b) Which **one** of the following is a reason why a government would introduce a minimum wage?

**(1)**

- ☒ **A** To increase the benefits paid by a government
- ☒ **B** To reduce the motivation of workers
- ☒ **C** To close the income gap between the rich and the poor
- ☒ **D** To ensure producers increase their profits

(c) On the blank pie chart below, draw and label the likely approximate size of employment in the primary (P), secondary (S) and tertiary (T) sectors for a developed country, such as Japan.

**(3)**

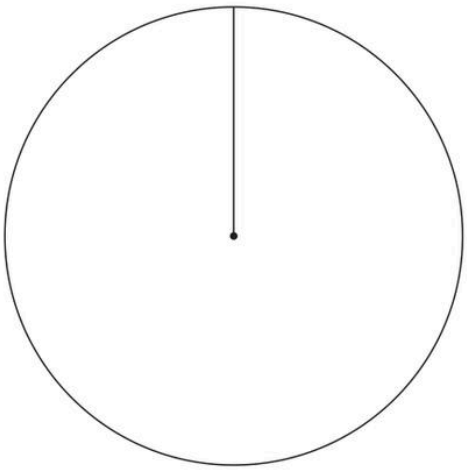


**Figure 5**

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## 5. Question 3 · part b · 1 mark · Working and answer

Working and answer

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## 6. Question 3 · part a · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

**3** (a) A minimum wage is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** economic assumption
- ☒ **C** economy of scale
- ☒ **D** government intervention

(b) Which **one** of the following is likely to lead to an increase in the productivity of capital?

(1)

- ☒ **A** An increase in bureaucracy
- ☒ **B** A decrease in the availability of finance
- ☒ **C** An increase in technological advances
- ☒ **D** A decrease in the size of the market

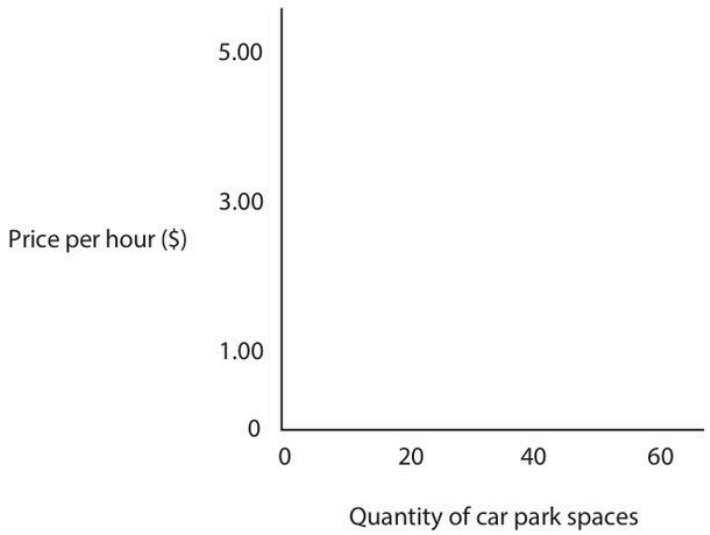
Figure 3 shows the estimated demand for car park spaces at a given price.

| Price per hour ($) | 1.00 | 3.00 | 5.00 |
|---|---|---|---|
| Demand | 60 | 40 | 20 |

**Figure 3**

(c) Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below.

(3)




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## 6. Question 3 · part a · 1 mark · Working and answer

Working and answer

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## 7. Question 3 · part b · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part b only.

**3** (a) Which **one** of the following is a reason why a firm may decide to stay small?

**(1)**

- ☒ **A** To increase bureaucracy
- ☒ **B** To sell a niche product
- ☒ **C** To spread business risk
- ☒ **D** To take over competitors

(b) The introduction of a minimum wage above the equilibrium wage in a labour market is most likely to

**(1)**

- ☒ **A** increase quantity of labour demanded and decrease the wage rate
- ☒ **B** increase quantity of labour demanded and increase the wage rate
- ☒ **C** decrease quantity of labour demanded and decrease the wage rate
- ☒ **D** decrease quantity of labour demanded and increase the wage rate

(c) On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient.

**(3)**

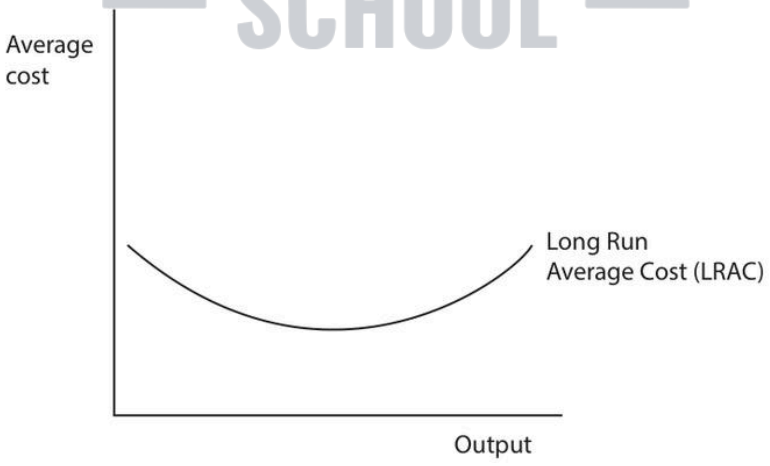



**Figure 4**

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## 7. Question 3 · part b · 1 mark · Working and answer

Working and answer

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# 8. Question 2 · part g · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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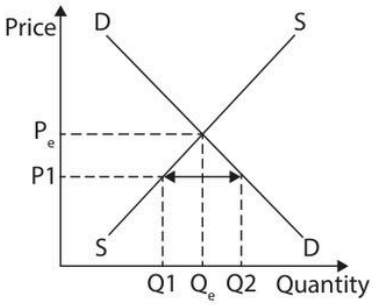
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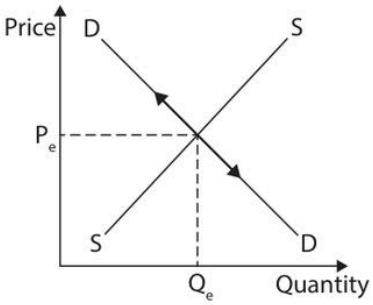
**2** (a) Which **one** of the following diagrams shows excess demand?

**(1)**

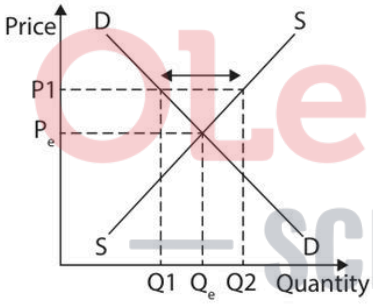
☒ **A**



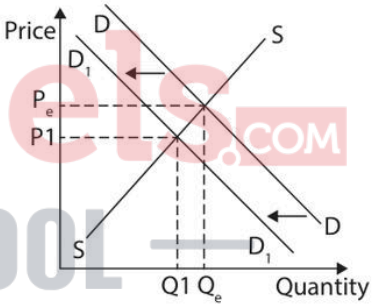

☒ **B**




☒ **C**




☒ **D**




(b) Which **one** of the following is a feature of an oligopoly?

**(1)**

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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## 8. Question 2 · part g · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

**(2)**

(d) What is meant by the term social costs?

**(2)**

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

**(2)**

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# 8. Question 2 · part g · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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Sajad owns a shop selling smartphones in Karachi, Pakistan. The shop has been successful for several years and there is an opportunity for Sajad to open an additional shop on the other side of the city.

(f) Explain **one** reason why Sajad may decide to expand his business.

**(3)**

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# 8. Question 2 · part g · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

In January 2023, the minimum wage in the Netherlands was increased by 10.15% to €1 934.40 per month. The decision was partly due to inflation increasing to 17% during 2022.

However, the decision has been criticised because the economy is still weak following the global health crisis.

(g) With reference to the data above and your knowledge of economics, assess the likely benefits of increasing the minimum wage for employees and firms in the Netherlands.

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## 8. Question 2 · part g · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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**(Total for Question 2 = 20 marks)**

## 8. Question 2 · part g · 9 marks · Working and answer

Working and answer

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# 9. Question 3 · part d · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

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**3** (a) Which **one** of the following is most likely to cause a shift to the left of the demand curve?

**(1)**

- ☒ **A** Increased advertising
- ☒ **B** Cost reductions
- ☒ **C** Increased indirect taxes
- ☒ **D** Decreased incomes

(b) Which **one** of the following best describes the type of goods with an income elasticity of demand (YED) of –1.3?

**(1)**

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Normal

(c) In the box below, draw a production possibility curve (PPC) for a firm that can produce shampoo and/or toothpaste. On your PPC, draw and label what would happen if production of toothpaste was increased.

**(3)**

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# 9. Question 3 · part d · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

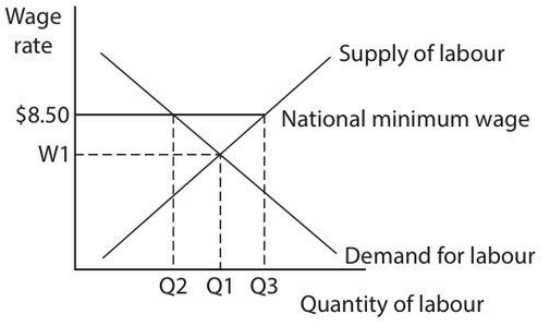



**Figure 4**

In 2021, the national minimum wage in Barbados was increased from $6.25 per hour to $8.50 per hour.

(d) With reference to the data above and your knowledge of economics, analyse the likely impact of an increase in the national minimum wage on the supply of labour in Barbados. (6)

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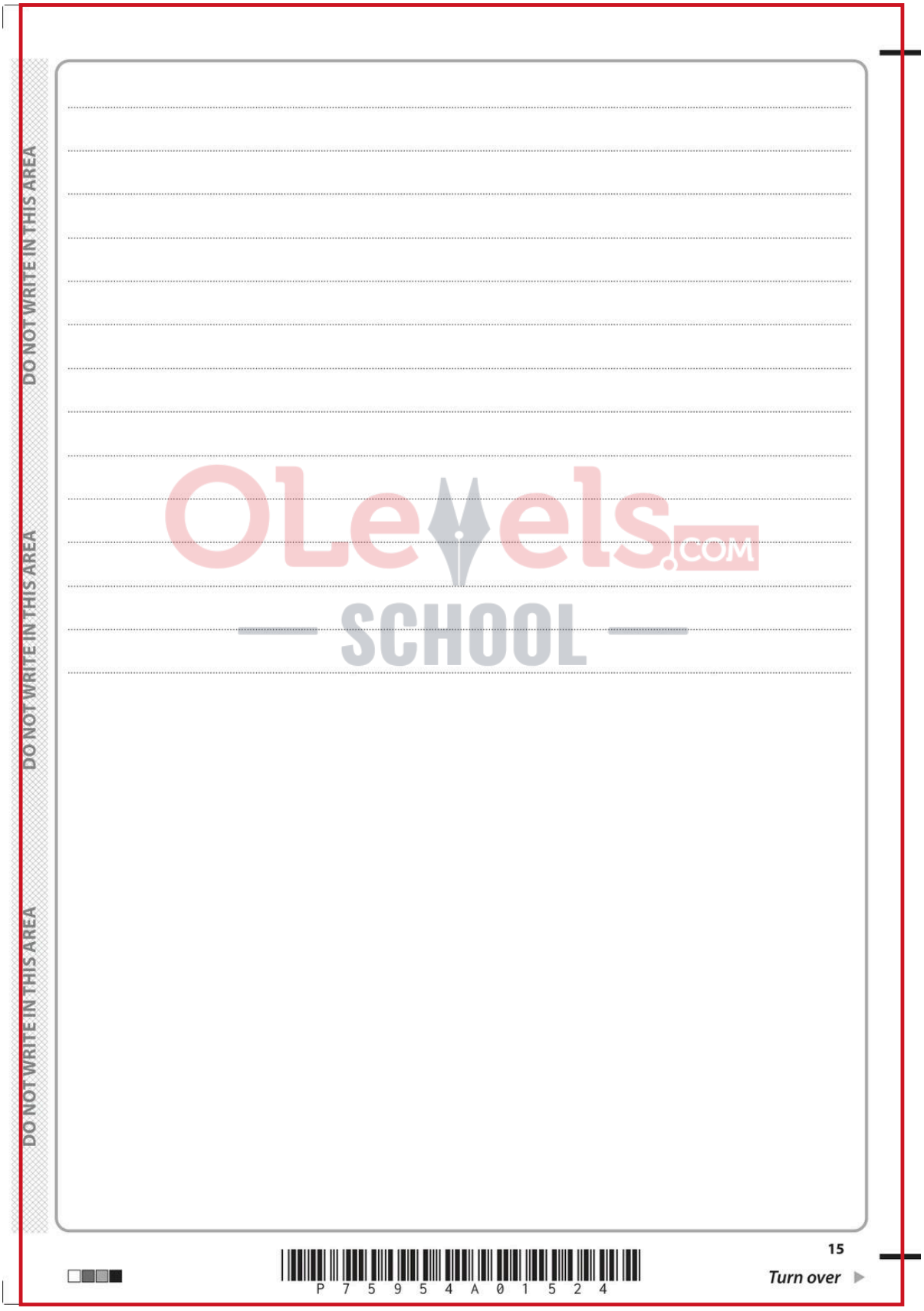


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## 9. Question 3 · part d · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.



## 9. Question 3 · part d · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

The education level of a worker is likely to have an effect on their ability in the workplace.

When a person migrates to another country, they bring with them whatever knowledge, skills and information they possess.

(e) With reference to the data above and your knowledge of economics, assess the importance of the quality of labour on productivity in a country.

(9)

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## 9. Question 3 · part d · 6 marks · Working and answer

Working and answer

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## 10. Question 2 · part g · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.

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**2** Figure 3 shows a long-run average cost (LRAC) curve diagram.

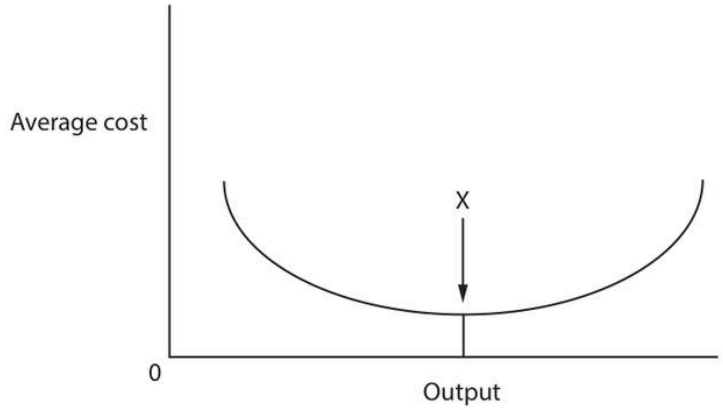



**Figure 3**

(a) Which **one** of the following is the correct label to replace 'X'?

(1)

- ☒ **A** Diseconomies of scale
- ☒ **B** External economies of scale
- ☒ **C** Most efficient
- ☒ **D** Profit

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(b) Which **one** of the following is the most likely cause of economic growth?

(1)

- ☒ **A** An increase in taxation
- ☒ **B** An improvement in efficiency
- ☒ **C** Fewer advances in technology
- ☒ **D** An increase in unemployment

# 10. Question 2 · part g · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.

Figure 4 shows some of the financial information in August for a shop selling ice creams at a price of $3.50 each.

| Week | Number of ice creams sold |
|---|---|
| 1 | 227 |
| 2 | 133 |
| 3 | 179 |
| 4 | 301 |

**Figure 4**

(c) Calculate the **total revenue** for the shop in August. You are advised to show your working.

(2)

(d) What is meant by the term bureaucracy?

(2)

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## 10. Question 2 · part g · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.

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(e) Describe **one** government policy to encourage positive externalities.

**(2)**

In 2024, it was recommended that additional funding should be provided for the drainage of farmland in India.

(f) Explain **one** way an improvement in drainage may affect the productivity of Indian farmers.

**(3)**

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## 10. Question 2 · part g · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.

In 2024, the minimum wage in Kuwait was 75 KWD (Kuwaiti dinar) per month, equal to about $243 per month.

(g) With reference to the data above and your knowledge of economics, assess the likely effect of having a minimum wage on the demand for labour in Kuwait.

**(9)**

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## 10. Question 2 · part g · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.



## 10. Question 2 · part g · 9 marks · Working and answer

Working and answer

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